

Microsoft Corp. - FY2023 Financial Report

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ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS

Revenue was \$211,915 million, an increase of 7% compared to fiscal year 2022.

Productivity and Business Processes revenue grew 8% to \$69,274 million.

Intelligent Cloud revenue grew 17% to \$87,907 million, driven by Azure growth.

Gross margin percentage was 68.9% with gross profit totaling \$146,052 million.

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FINANCIAL POSITION AND LIQUIDITY

Operating income increased 6% to \$88,523 million with an operating margin of 41.8%.

Net Income reached \$72,361 million, down slightly by 0.5% year-over-year.

Total long-term debt was \$41,968 million as of June 30, 2023.

Auditor's Report: Unqualified opinion with critical audit matters related to revenue recognition.